Britam Holdings Plc
FY2017 Analyst Round-table Meeting Presentation

Contents

Section 1:

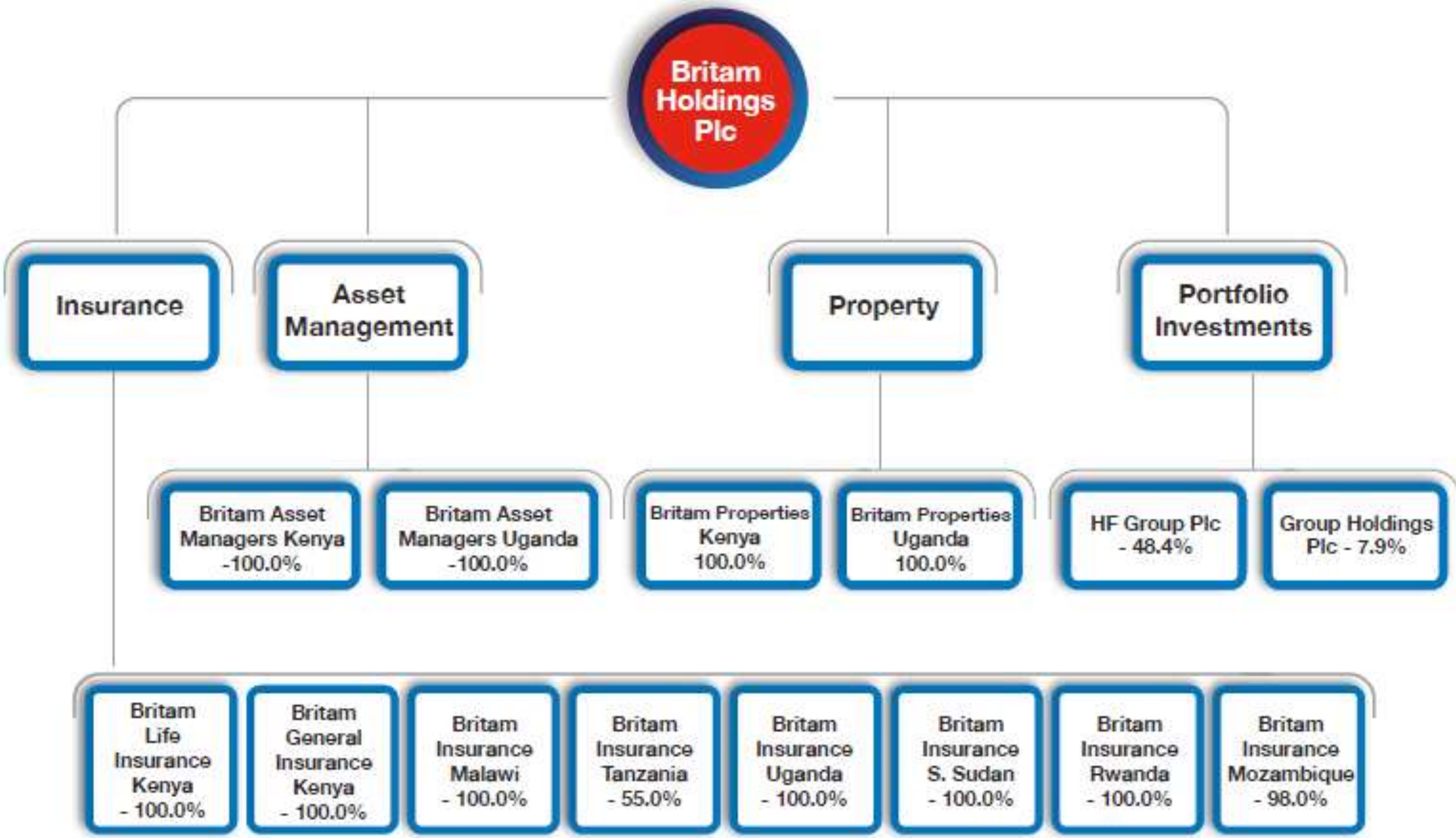
- **Who we are**
- Economic & Industry Highlights

About Britam Holdings Plc

Britam is a leading diversified financial services group listed on the Nairobi Securities Exchange. The group has presence in seven countries in Africa namely; Kenya, Uganda, Tanzania, Rwanda, South Sudan, Mozambique and Malawi.

The group offers a wide range of financial solutions in Life Assurance, General Insurance, Health Insurance, Retirement Planning, Asset Management and Property. These solutions enable our customers to protect and grow their wealth and achieve their financial goals every step of the way.

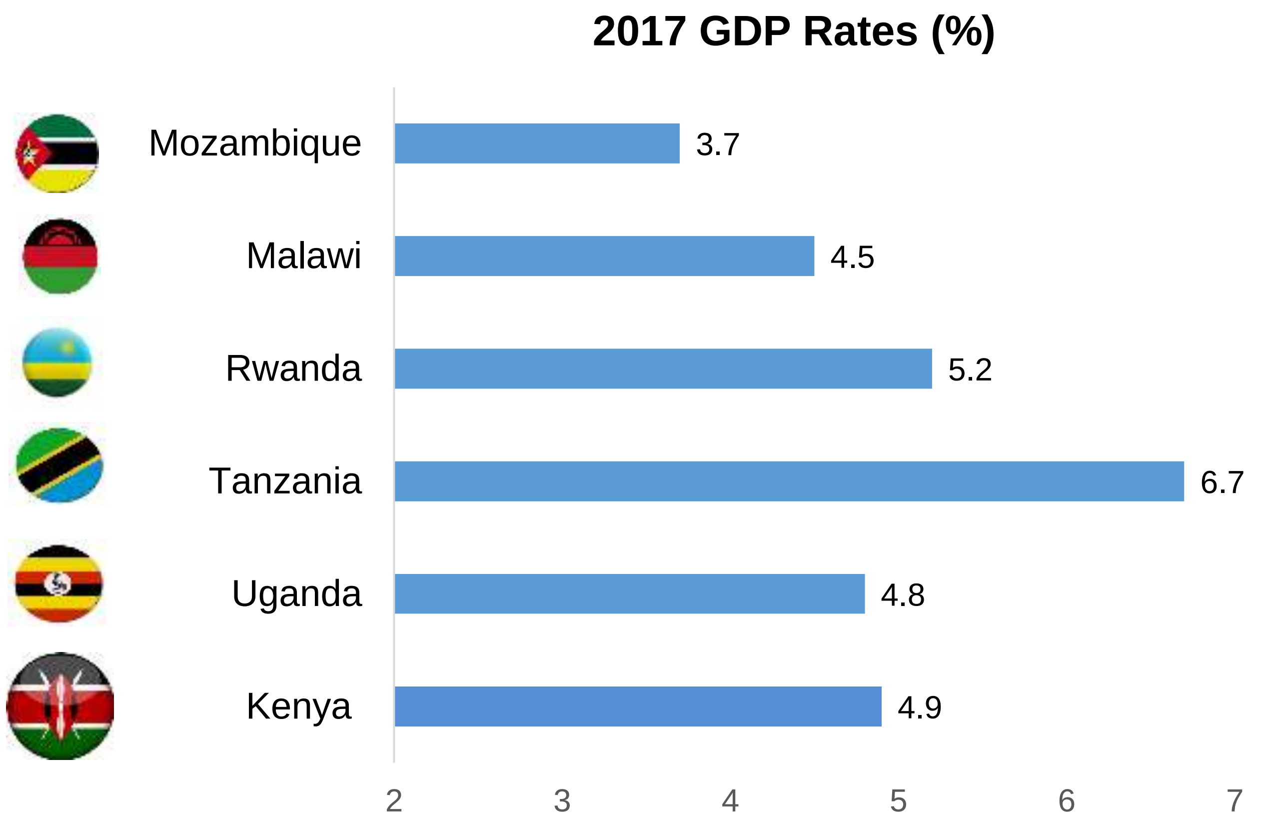
Group Structure



Section 1:

- Who we are
- **Economic & Industry Highlights**

Macro-Economic Review



Source: Country Stats

- Political environment coupled with the prolonged drought impacted Kenya's economic performance.
- Most currencies in the region were stable despite global uncertainties around Brexit and US Tax reforms.

Industry Highlights- Kenya

- **Insurance**
  - Projected penetration rate for 2017 at 2.9% compared to 2.7% in 2016.
  - 2017, insurance premiums grew by 6.6 % compared to the 12.3% growth in 2016.
  - Life insurance premiums at Shs 83 billion a growth of 13.6%.
  - General insurance premiums at Shs 124 billion a growth of 2.5%.

- **Other Business**
  - Asset Management- AUM continue to grow driven by increased uptake especially for retail.
  - Property market witnessed a slow down in 2017. However, the sector is expected to improve 2018 partly driven by the Government focus on housing.

- **Regulatory**
  - In Kenya there was a refinement of the Risk Based Capital (RBC) regulation.

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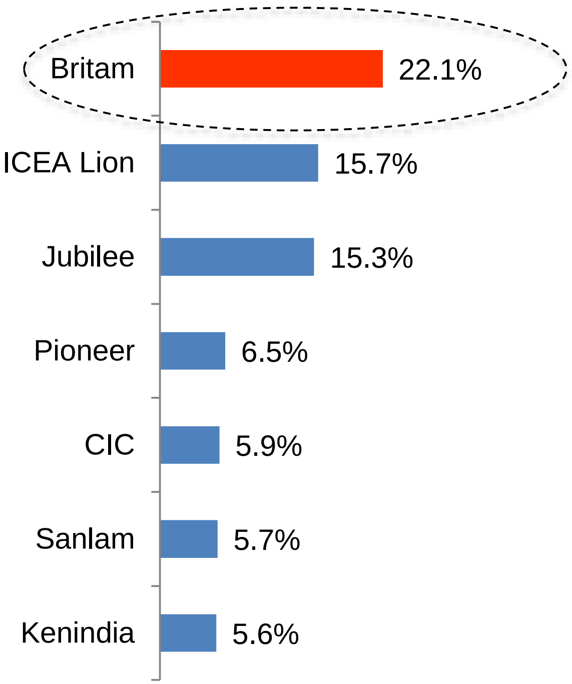
Industry Highlights- International Business

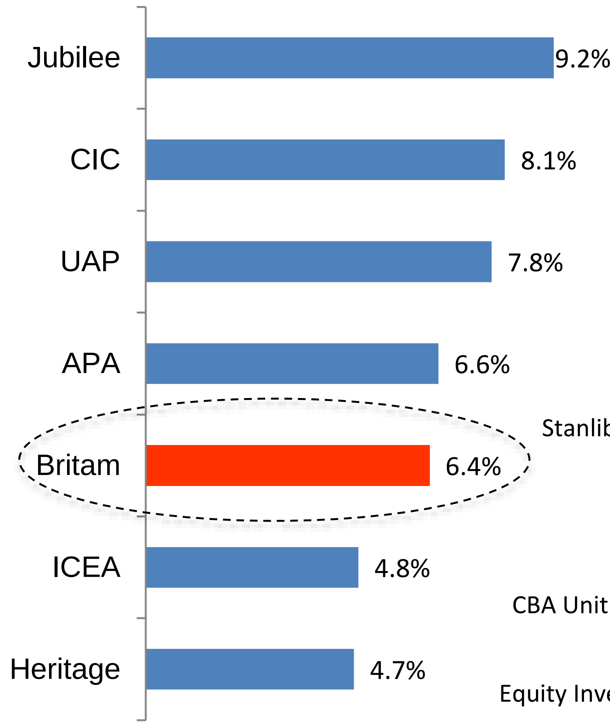
Economic Highlights	South Sudan- Political instability and prolonged fighting continue to cripple the economy. Mozambique- Oil & Gas sector expected to spur economic growth. Tanzania- Government protectionism still remains a key challenge.
Insurance	Regional penetration rates below 2%.
Regulatory	In Uganda, introduction of RBC. Rwanda National bank halted the registration of new insurance companies Introduction of cash and carry policy in Tanzania. Introduction of new solvency computation guidelines in Malawi

Kenya Business Units Market Share- 2017

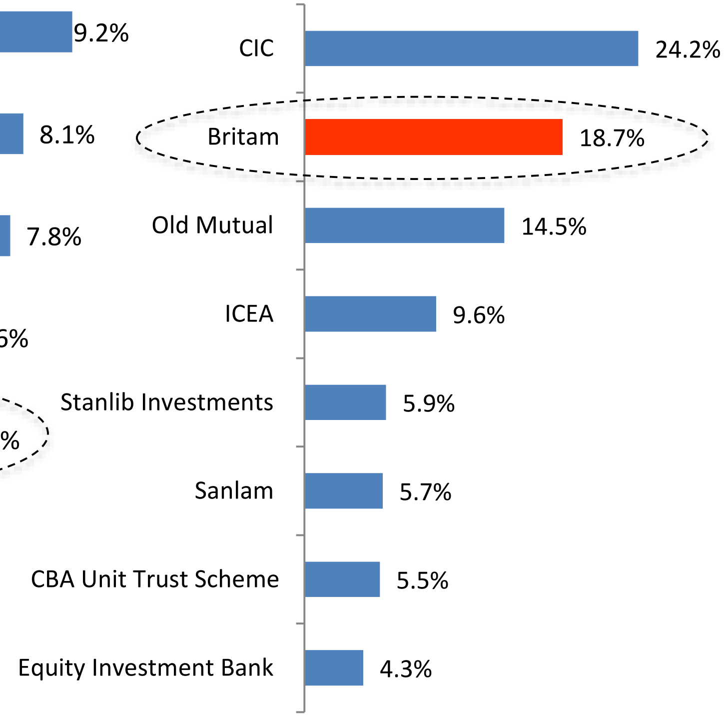
Life



General



Asset Management



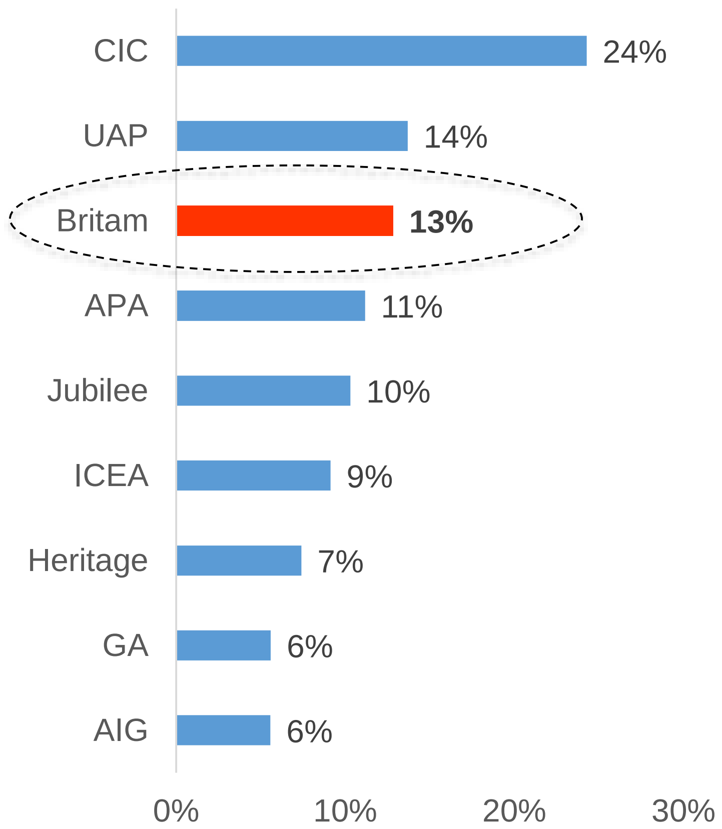
Britam Life maintained its industry leadership position.

Britam General grew its market share to 6.4% and attained 5th in position

Britam Asset Managers maintained its 2nd Position in revenue and PBT.

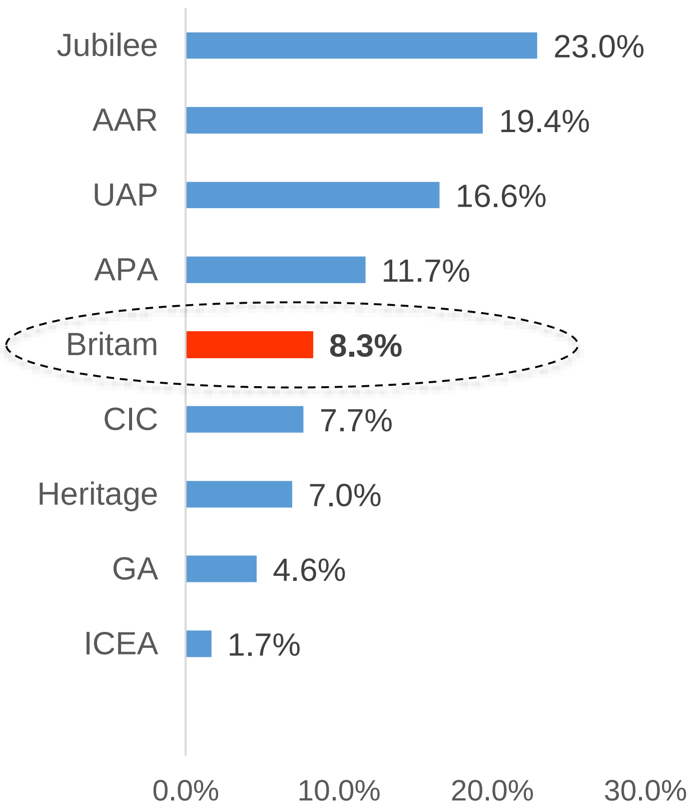
General Insurance Kenya Market Share- 2017

Motor



Britam General grew its market share in Motor to 13% and attained 3rd in position

Medical



Britam General grew its market share in Medical to 8.3% and attained 5th in position

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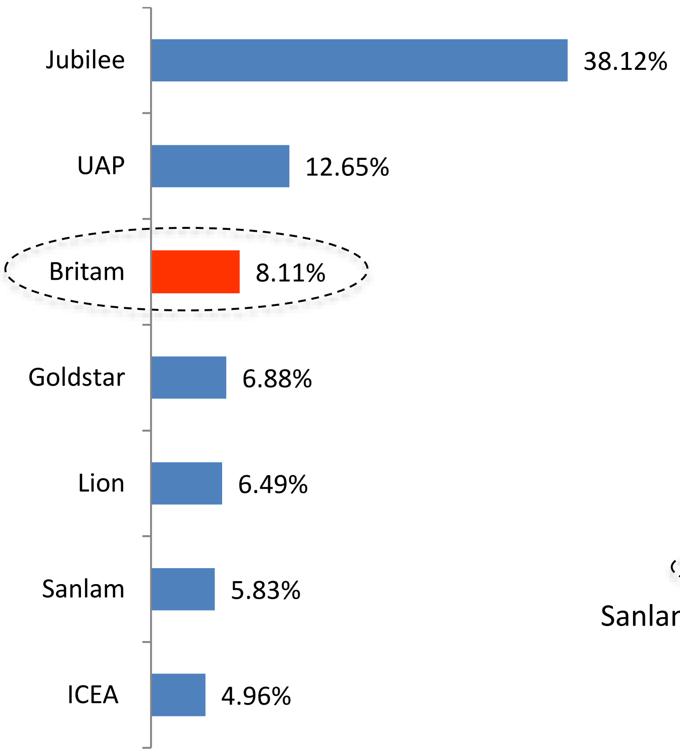
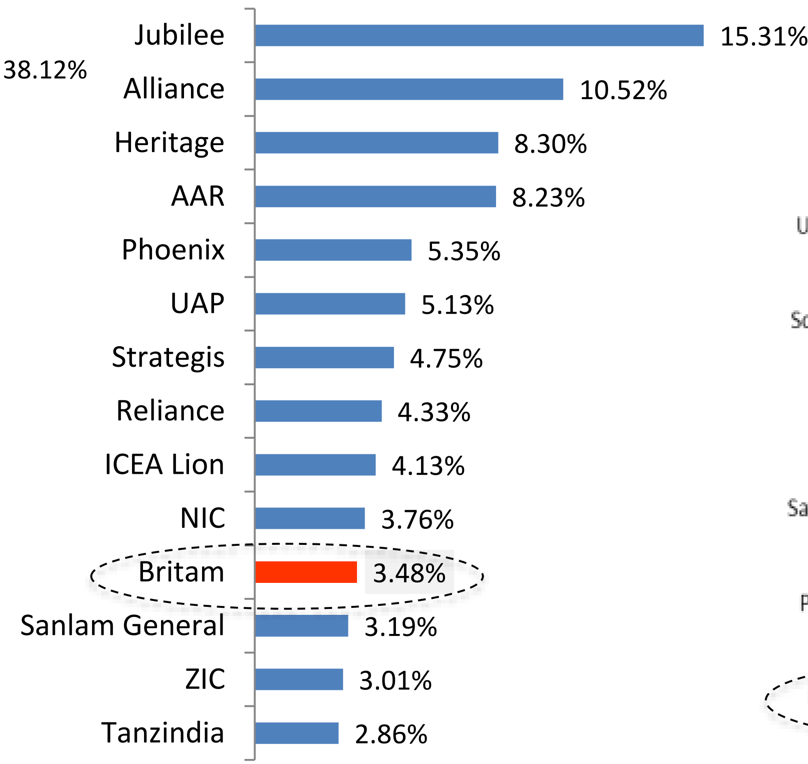
International Business Market Share- 2017

Uganda



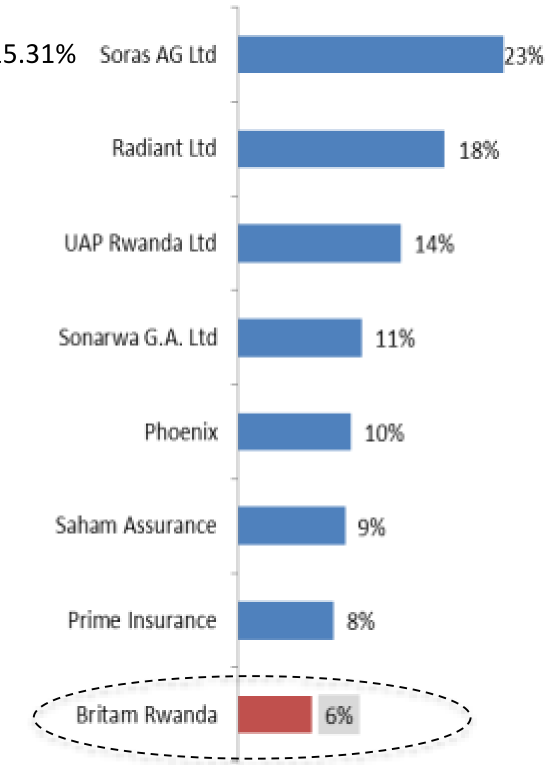
Britam Uganda Grew their market share to 3rd position in Q3 2017.

Tanzania



Britam Tanzania maintained a market share of 3.48%. (2016)

Rwanda



Britam Rwanda maintained a market share of 6%. (2016)

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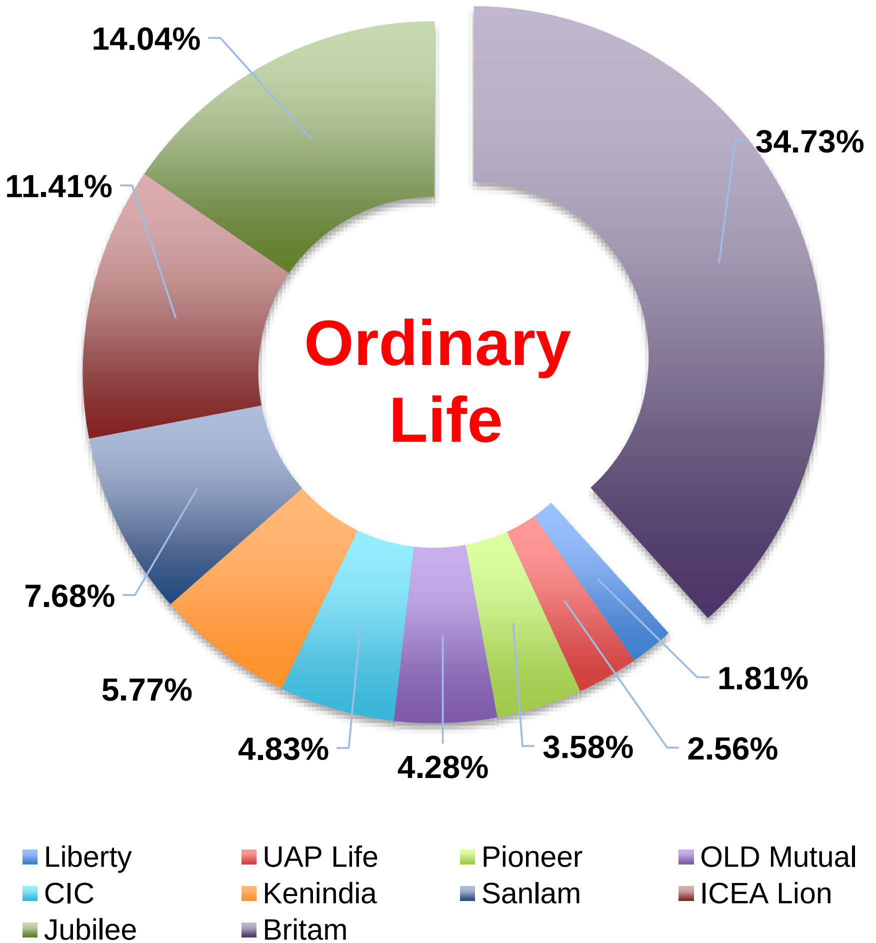
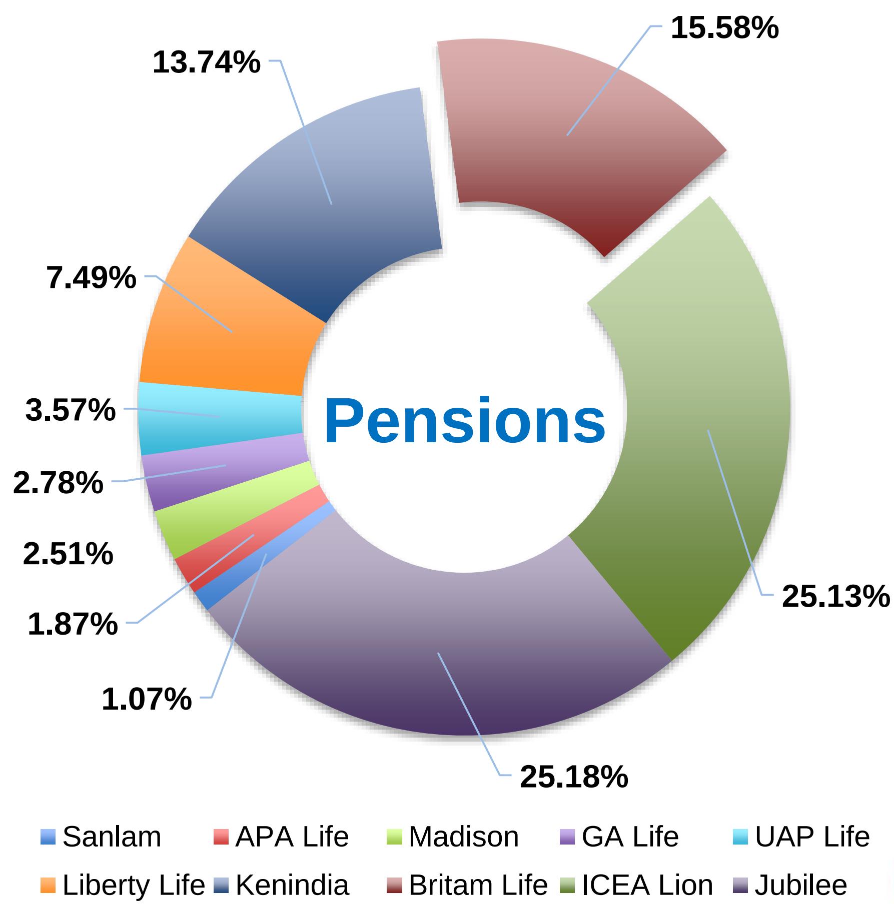
Ordinary Life & Pension Market Share -2017





Section 2:

- 2017 Operating Environment & Update on Strategic Initiatives
- 2017 Financial Performance

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- **2017 Operating Environment & Update on Strategic Initiatives**
- 2017 Financial Performance

2017 Operating Environment & Milestones

- Prolonged political activity and drought conditions impacted Kenya's business environment.

- Despite these challenges the Group recorded various milestones;
  - Launched Britam Asset Managers Company (Uganda) Ltd.
  - Launched our digital and mobile platforms.
  - Completed the Britam Tower.

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2017 Performance against Strategic Priorities

	Objectives	Performance
PROFITABLE GROWTH	1. Make all businesses profitable 2. Be the market leader in all our chosen markets 3. Be a truly diversified financial services group	• **Most businesses in profitable position in FY 2017.** • **Increased revenue contribution from regional entities.**
CUSTOMER SERVICE	1. Ensure a "one stop shop" and a seamless experience for clients 2. Engage in continuous brand building to become the trusted partners to our clients	• Implemented; • **24-hour Contact Centre** and • **Customer Relationship Management (CRM) system**
INNOVATION	1. Increase our share of wallet by designing products with customers in mind and deliver them in a timely manner 2. Develop innovative partnerships and distribution channels to increase our market penetration	Launched; • Mobile distribution channels e.g. our new **USSD portal (*778#)**. • Digital portals i.e. **FA, Customer and Marine Portals.**
OPERATIONAL EXCELLENCE	1. Improve operational efficiency and cost-to-income ratio to 20% by 2020 2. Ensure optimum underwriting quality and reduce loss ratios to below 50%	Key initiatives include implementation of ; • **Express motor assessment centre** and • **triaging approach to claims processing etc.**
ENABLING TRANSFORMATION	1. Create a high performance, proactive culture and motivated team. 2. Develop an IT ecosystem that support digital enterprise (Project Jawabu)	• **Rolled out ERP across all regional entities.** • **Successfully launched internal systems such as Taleo (HR) and isupply.** • **INSIS medical and motor system**

Section 2:

- 2017 Operating Environment & Update on Strategic Initiatives
- **2017 Group Financial Performance**

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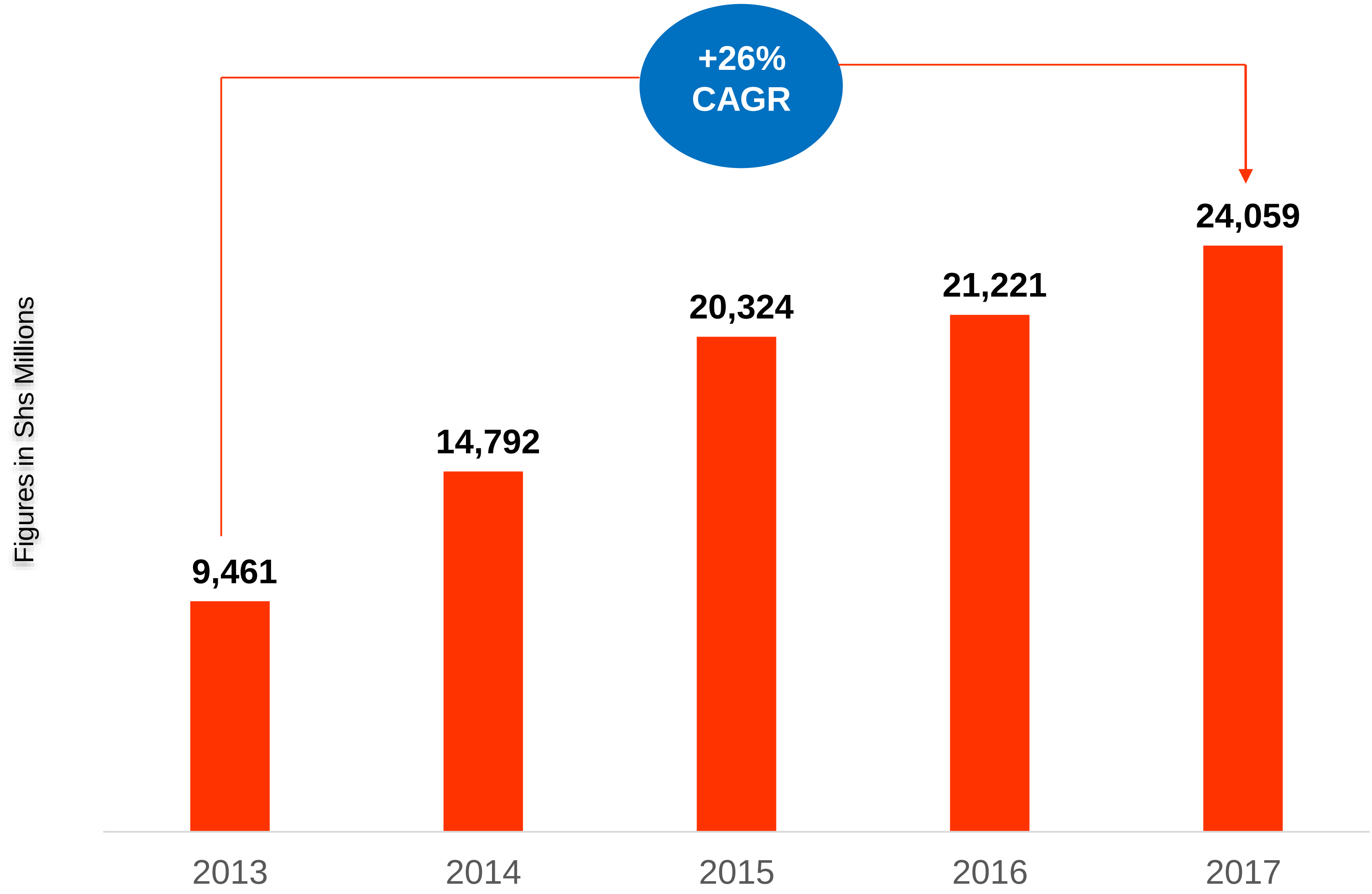
Summary Group Consolidated Financial Results

Shs Millions	Dec 2017	Dec 2016	% Change
Gross earned premiums	23,298	20,292	15%
Fund management fees	761	929	(18%)
Investment income	5,054	4,233	19%
Net insurance claims, increase in policy holder's benefits and loss adjustment expenses & Interest payments/ increase in unit value	14,962	6,744	122%
Operating expenses & finance costs	8,542	8,272	3%
Profit before tax	866	4,239	(80%)
Total comprehensive income	1,908	785	143%

Statement of Profit or Loss and Comprehensive Income.

Condensed Consolidated Statement of Profit or Loss- Group		
Shs'000	12 Months to 31-12-2017	12 Months to 31-012-2016
Gross earned premium and fund management fees	24,058,941	21,221,078
Less: reinsurance premium ceded	(3,000,191)	(2,898,259)
Net earned revenue	**21,058,750**	**18,322,819**
Investment income	5,053,975	4,232,846
Net (loss)/income from investment property	(607,261)	991,129
Gains/ (losses) on financial assets at fair value through profit or loss	1,324,833	(2,412,009)
Commissions earned	744,492	718,839
Other income	261,885	506,590
Total income	**27,836,674**	**22,360,214**
Expenses		
Net insurance claims and increase in policyholder's benefits	12,498,761	5,001,165
Interest payments/ increase in unit value	2,462,961	1,742,978
Operating and other expenses	7,355,818	7,094,697
Finance costs	1,186,147	1,177,264
Commissions expense	3,520,150	3,547,258
Total expenses	**27,023,837**	**18,563,362**
Profit before share of the profit of associate	812,837	3,796,852
share of profit of associate	53,006	442,281
Profit before tax	**865,843**	**4,239,133**
Income tax (expense)/ credit	(338,369)	(1,758,929)
Profit for the year	**527,474**	**2,480,204**
Gains/ (losses) on revaluation of financial assets at fair value through other comprehensive income	1,291,967	(1,452,150)
Others	88,709	(243,381)
Total other comprehensive income	1,380,676	(1,695,531)
Total Comprehensive income for the year	**1,908,150**	**784,673**

Gross Earned Premiums & Fund Management Fees



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Gross Earned Premium and Fund Management Fees

Total GEP & Fund management fees 24.1bn

- Life Assurance Kenya 11.1bn 45.9%
- GI Kenya 8.1bn 33.5%
- Regional GI 4.1bn 16.8%
  - South Sudan 597mn
  - Uganda 1.2bn
  - Tanzania 1.0bn
  - Mozambique 240mn
  - Malawi 699mn
  - Rwanda 294mn
- AMC 848mn 3.5%
- Britam Property 79mn 0.3%

Note: The above figures do not include inter company transactions.

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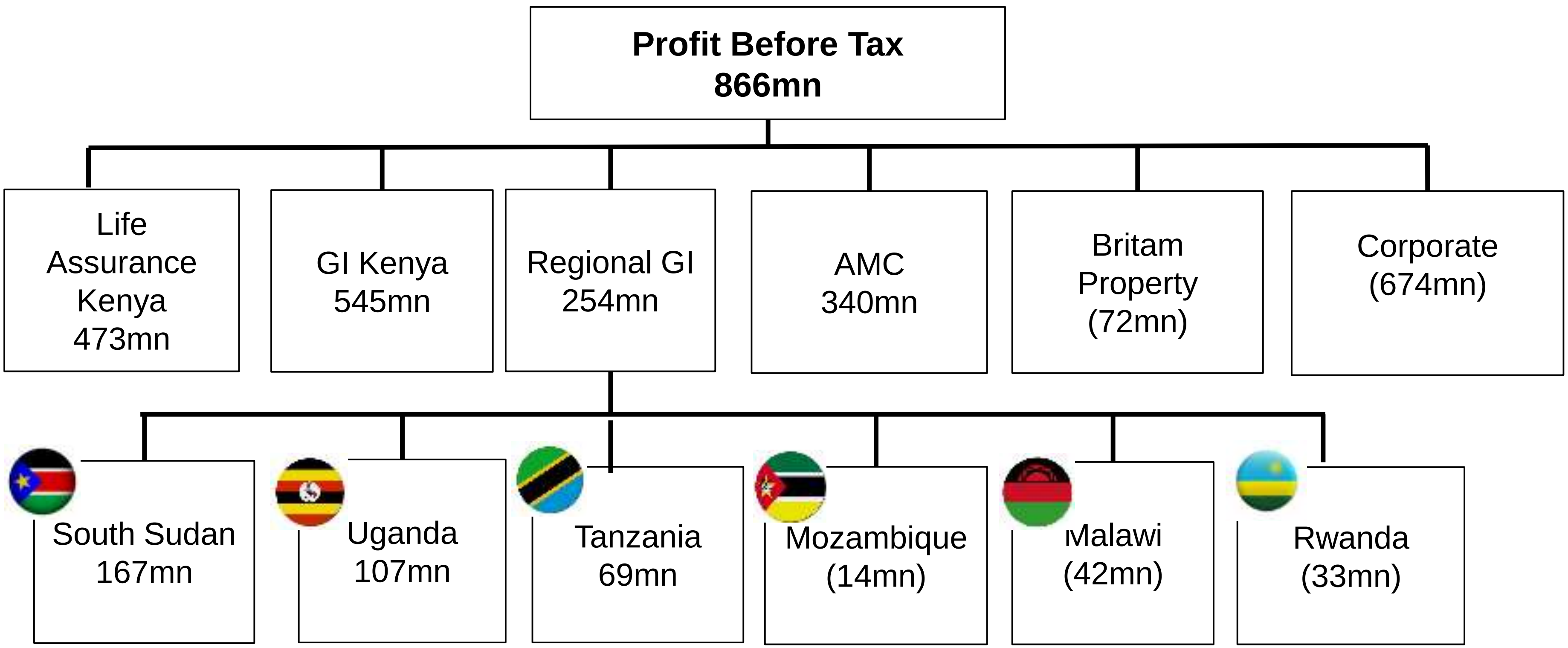
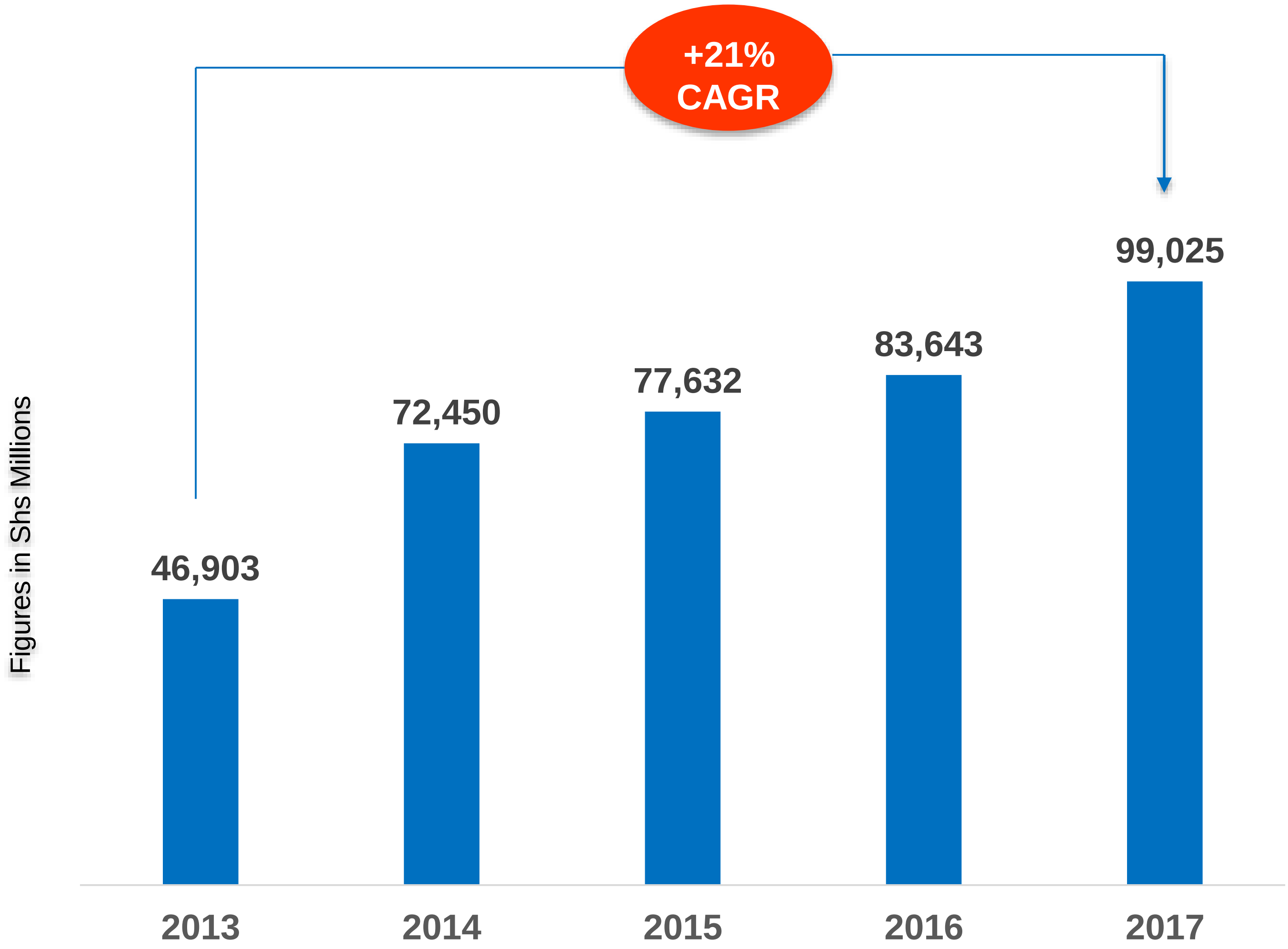
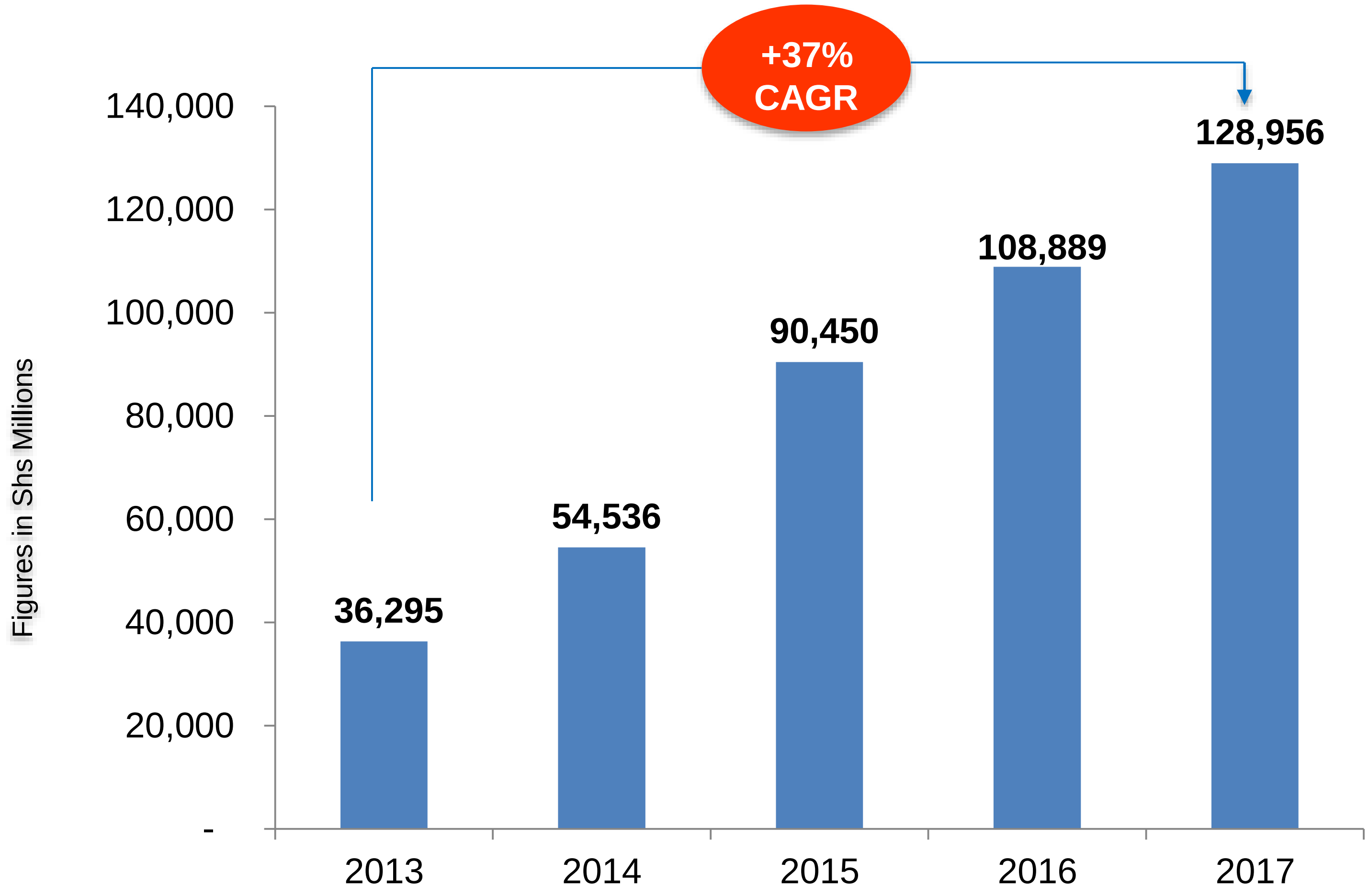
Profit Before Tax (Shs)



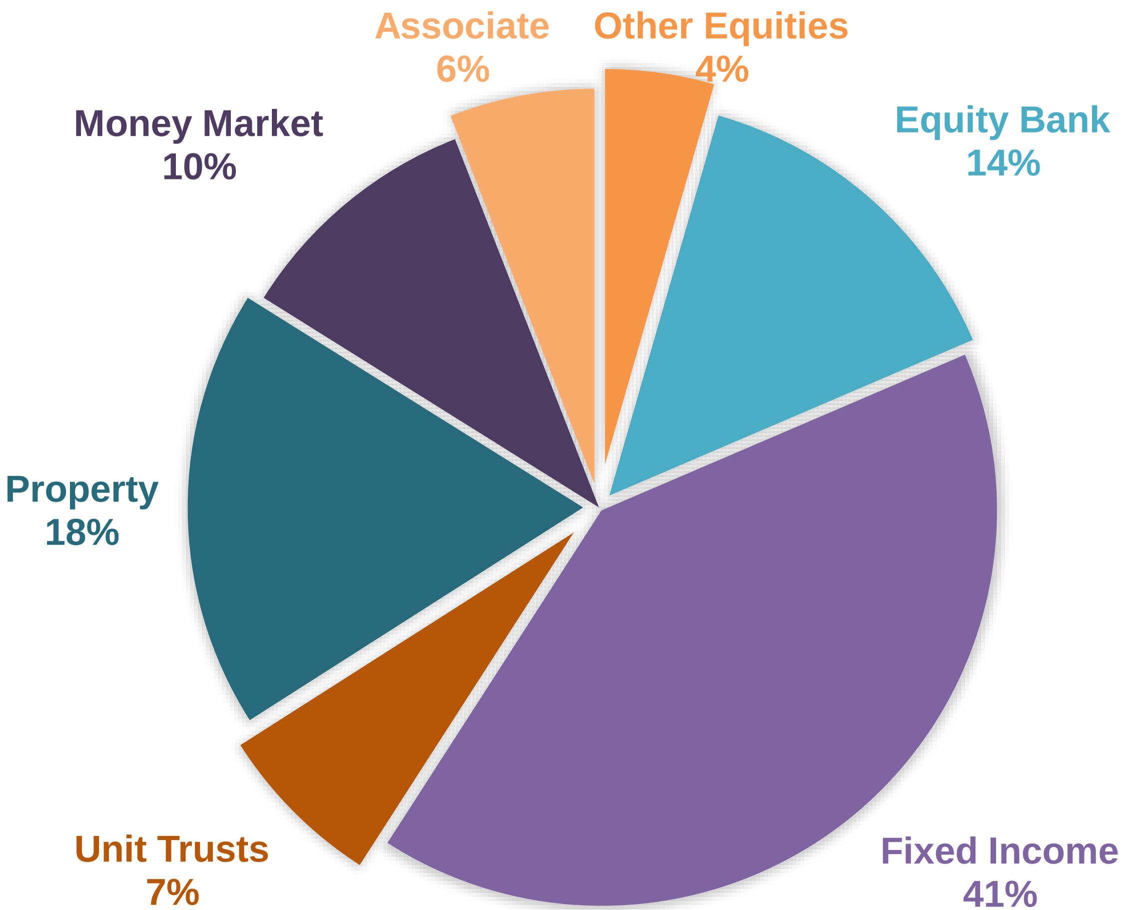
Total Assets at Shs 99bn



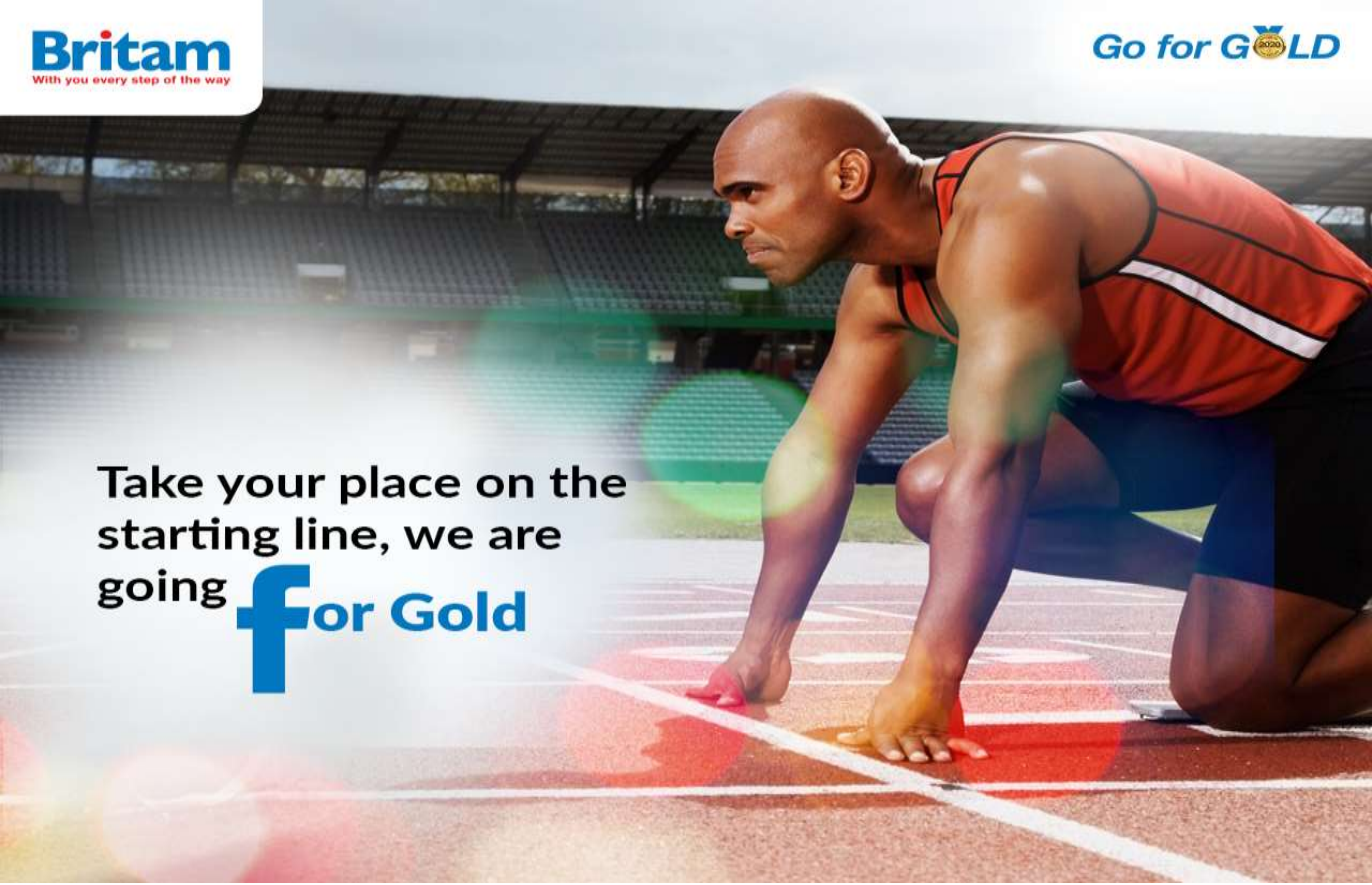
AUM up 18% to Shs 129bn



Group Investment Assets- Dec 2017



The Group holds total investments assets of Shs 84.5Bn



Section 3: 2018 Strategy Focus

2018 Strategy Focus

We remain optimistic on the prospects for 2018 reinforced by:

- Improved business operating environment;
- Effective implementation of the second phase of our 2016- 2020 strategy;
- New digital and mobile distribution channels;
- Introduction of innovative products and services that meet customer needs; and
- Process improvement through deployment of information technology.

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THANK YOU

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KENYA | UGANDA | TANZANIA | RWANDA
SOUTH SUDAN | MOZAMBIQUE | MALAWI